

going. The scheme falls apart when people realize no real value has been created, and everything is founded upon a scheme to dupe new investors into paying old investors. Tragically, investors often don't realize they are duping one another, and it is the operator of the Ponzi scheme who makes out handsomely.

Before we turn to cryptoassets, let's look at how Ponzi schemes have played out in traditional assets.

Many think of bonds as a safe investment with steady cash flows. If they are issued by a government, then they also have the full backing of that government. As we will soon see, bonds have not always been safe, and in what has been labeled the first emerging market boom, many bonds turned out to be Ponzi schemes.¹

For about a century after the equity bubbles brought on by the Mississippi Company² and South Sea Schemes³ (we'll cover the shady dealings of these companies in the next section), British investors stuck close to government-issued bonds.⁴ During the Napoleonic Wars from 1803 to 1815, the British government issued over 400 million pounds of bonds, providing plenty of opportunity to bond investors. However, once peace reigned again, the British government had less need to borrow, and therefore the supply of government bonds shrank.⁵

At about the same time, South America was in the throes of rebellion against Spain, leading to the creation of new countries with a need for capital to build their infrastructure and join the developed world. An English newspaper claimed,